



CHARLES H. DOW

1851–1902

Charles Dow, the cofounder of the *Wall Street Journal* and creator of the Dow Jones Industrial Average, was the serious half of the partnership with the flamboyant Eddie Jones. Dow, who was born in rural Connecticut, and whose father died when Charles was just six, spent his entire life in the newspaper business. At 16 he started working for a local weekly paper as an apprentice printer and reporter. His next job was with a daily in Springfield, Massachusetts, before becoming the New York correspondent for a daily in Providence, Rhode Island. Rather than being a reporter at large, Dow preferred research and analysis, so he next took a job covering mining company stocks for the *New York Mail and Express*. His financial editorials were reportedly the first in the daily press.

About 1880, Dow joined a news reporting service, where he convinced the management to hire his old friend Eddie Jones, who had shown up in New York and confided to Dow that he had both debt and wife problems. Jones started covering the New York Stock Exchange. Finally, in 1882, Dow and Jones decided to start their own news reporting firm, to focus on the stock market and use messenger boys to deliver the news. Their first office was beneath a soda-water establishment in the basement of 15 Wall Street. They spent much of their day visiting bankers, financiers, and members of the Exchange.

To follow the stock market's ebb and flow, Dow alone created the Dow Jones Averages, which first appeared on July 3, 1884, and used 11 representative stocks. Later he increased the number to 20, and then to 30 in 1887. Dow's second great legacy was founded in the summer of 1889—the *Wall Street Journal*, which originally cost two cents a copy and had an initial distribution of about 1,500. In 1899, Dow started a column called "Review and Outlook," which was designed to educate the general reader. As one of Dow's close associates said, "Mr. Dow could make more out of a single sentence or a single fact than anyone I knew." *Booms and Busts* is a medley of three editorials, in which he diagnoses market movements and explains why investor confidence is a "tender plant."